Merchant
FINANCIAL ADVISORY

FOR 2026 · SMALL BUSINESS EDITION

Small Business Tax *Starter Kit*

The dates, checklists and one-page answers we walk new clients through first. For freelancers, single-member LLCs and small businesses, with New Jersey and New York notes.

01 Key tax dates for 2026 returns
02 Quarterly estimated taxes
03 Deduction checklist
04 1099 readiness checklist
05 Monthly bookkeeping close
06 LLC vs S corp, in one page
07 When to hand it off

START HERE: THREE THINGS TO DO THIS WEEK

1. Put the next estimated tax date (Jan 15, 2027) in your calendar. Page 3.
2. Ask every contractor you paid in 2026 for a signed Form W-9. Page 5.
3. Pick one day each month for your bookkeeping close and block it. Page 6.

Prepared by **Zain Merchant, ACCA**
Merchant Financial Advisory · Princeton, NJ

Figures checked against IRS and state sources as of October 20, 2026.

General information, not tax or legal advice.

Key tax dates for *2026 returns*

Calendar-year businesses. These are the dates that cost money when they're missed: late-filing and late-payment penalties start the next day.

DATE	WHAT'S DUE	WHO IT'S FOR
Jan 15 Friday, 2027	Fourth 2026 estimated tax payment (Form 1040-ES). NJ and NY fourth estimates are due the same day.	Self-employed, owners with untaxed income
Feb 1 Monday, 2027	Form 1099-NEC to contractors **and** the IRS for 2026 payments of $2,000 or more. Also W-2s to employees and the SSA, and Forms 941 (Q4) and 940.	Anyone who paid contractors or employees
Mar 1 Monday, 2027	Paper Forms 1099 other than 1099-NEC (for example 1099-MISC) due to the IRS with Form 1096.	Payers filing on paper
Mar 15 Monday, 2027	Form 1120-S (S corporations) and Form 1065 (partnerships and multi-member LLCs) due, with K-1s to owners. Form 7004 extends to Sept. 15. Last day to file Form 2553 for S corp status starting in 2027.	S corps, partnerships, LLCs electing S corp
Mar 31 Wednesday, 2027	E-filed Forms 1099 other than 1099-NEC due to the IRS.	Payers filing electronically
Apr 15 Thursday, 2027	Form 1040 with Schedule C and SE, and any balance due. Form 1120 for C corporations. First 2027 estimated payment. Form 4868 extends filing, not payment, to Oct. 15. NJ-1040 and NY IT-201 / IT-203 are due the same day.	Sole proprietors, single-member LLCs, C corps
Jun 15 Tuesday, 2027	Second 2027 estimated tax payment (federal, NJ and NY).	Anyone paying estimates
Sep 15 Wednesday, 2027	Third 2027 estimated payment. Extended Forms 1120-S and 1065 due.	Estimates; extended S corps and partnerships
Oct 15 Friday, 2027	Extended Form 1040 and Form 1120 due.	Extended individual and C corp returns

Before Dec. 31, 2026: spending you want to deduct for 2026, like equipment, software and supplies, generally has to be paid (and equipment placed in service) by year-end. Talk it through before you buy just for the deduction.

Dates move. When the IRS or a state announces disaster relief, deadlines shift for the affected area. Fiscal-year businesses have different dates. Save every date to your calendar: mfa-advisory.com/blog/2027-tax-calendar.

Sources: IRS Publication 509 (draft for 2027), Form 1040-ES (2026), Instructions for Forms 1099-MISC and 1099-NEC, NJ Division of Taxation, NY Department of Taxation. Checked October 20, 2026.

Quarterly estimated taxes, *in one page*

No employer is withholding tax from business profit, so the IRS expects you to pay as you go, four times a year.

$1,000

FEDERAL TRIGGER

Estimates are generally required if you expect to owe $1,000 or more for 2026 after withholding and credits.

$400 / $300

NJ / NY TRIGGER

New Jersey: if you expect to owe more than $400. New York: $300 or more of state, NYC or Yonkers tax.

15.3%

SELF-EMPLOYMENT TAX

On 92.35% of net profit, on top of income tax. The Social Security part stops at $184,500 for 2026.

Avoid the underpayment penalty: the safe harbors

For 2026 you generally owe no federal underpayment penalty if your withholding and on-time estimates cover the smaller of:

- ☐ **90% of your 2026 tax**, or
- ☐ **100% of your 2025 tax** (110% if your 2025 adjusted gross income was over $150,000, or $75,000 if married filing separately).

Quick example. $60,000 of 2026 net profit means about $8,478 of self-employment tax ($60,000 × 92.35% × 15.3%) before any income tax. Half of the self-employment tax is deductible on your Form 1040. Run your own numbers with the quarterly estimated tax calculator.

Your payment tracker

DUE DATE	QUARTER	PLANNED	PAID ON	CONFIRMATION #
Jan 15, 2027	Q4 2026			
Apr 15, 2027	Q1 2027			
Jun 15, 2027	Q2 2027			
Sep 15, 2027	Q3 2027			
Jan 18, 2028	Q4 2027			

Pay federal estimates through IRS Direct Pay, EFTPS or your IRS Online Account; NJ and NY take payments on their own sites. The Jan 18, 2028 date reflects a weekend and holiday; confirm when the 2027 forms are released.

Deduction checklist *for 2026*

Tick what applies to you, then make sure your books show it. Each item needs a receipt or record: date, amount, who and the business purpose.

- [ ] **Home office**
  Simplified method: $5 per sq ft, up to 300 sq ft ($1,500 max). The space must be used only and regularly for work.
- [ ] **Business mileage**
  72.5¢ a mile Jan. to June 2026, 76¢ July to Dec. Keep a log. Commuting never counts.
- [ ] **Parking and tolls**
  On business trips, on top of mileage.
- [ ] **Phone and internet**
  The business-use share of the bill.
- [ ] **Software and subscriptions**
  QuickBooks, Canva, Zoom and the like; business share only.
- [ ] **Small equipment**
  Items of $2,500 or less each (or per invoice) can be written off at once if you elect the de minimis safe harbor.
- [ ] **Larger equipment**
  Section 179 up to $2,560,000 for 2026, or 100% bonus depreciation for property acquired after Jan. 19, 2025.
- [ ] **Business meals**
  50% with a client or contact, with a real business purpose.
- [ ] **Travel away overnight**
  Flights, hotels and rides in full; meals on the trip at 50%.
- [ ] **Contractors**
  In full. Send a 1099-NEC at $2,000 or more for 2026 payments.
- [ ] **Self-employed health insurance**
  Premiums for you and your family, if the business made a profit.
- [ ] **Retirement savings**
  SEP-IRA: the lesser of 25% of pay or $72,000 for 2026. Solo 401(k): $24,500 deferral, plus $8,000 at 50 or older.
- [ ] **Half of self-employment tax**
  Deducted on your Form 1040; it lowers income tax.
- [ ] **Startup costs**
  Up to $5,000 in your first year, phased out above $50,000 of costs; the rest over 180 months.
- [ ] **Bank and card processing fees**
  Stripe, Square and PayPal fees on business sales.
- [ ] **Accounting, legal and tax-prep fees**
  Business share in full.
- [ ] **Advertising and marketing**
  Ads, website, business cards.
- [ ] **Client gifts**
  Up to $25 per person per year.
- [ ] **Business insurance**
  Liability, property, professional coverage.
- [ ] **Courses and training**
  When they keep up skills for the work you already do.

COMMON TRAPS: NOT DEDUCTIBLE

- [ ] **Commuting**
  Home to your regular workplace.
- [ ] **Entertainment**
  Game tickets, golf, shows, even with a client.
- [ ] **Fines and penalties**
  Parking tickets, IRS penalties.
- [ ] **Club and gym dues**
  Social, athletic and fitness clubs.
- [ ] **Snacks and meals for staff at work**
  New for 2026: no longer deductible, with narrow exceptions.

Not sure about an expense? Search 59 common expenses, with the limits and records to keep, on mfa-advisory.com/tools/is-it-deductible.

Sources: IRS Publications 463, 587, 946, 560 and 15-B; Schedule C instructions; IRS standard mileage rates (Notice 2026-10, Announcement 2026-11). Checked October 20, 2026.

1099 readiness *checklist*

For payments made in 2026, filed in early 2027. The big change: the threshold for most 1099s went from $600 to $2,000.

$2,000
1099-NEC / 1099-MISC
Services, rent, medical and other income paid in 2026 ($600 for 2025 payments).

Feb 1
1099-NEC DEADLINE
To contractors and the IRS, Monday, February 1, 2027.

$20,000
1099-K (PROCESSORS)
Plus more than 200 transactions. Card and app payments you make are on the processor's form.

Work through it in this order

- [ ] **List everyone you paid for services in 2026**
  Freelancers, contractors, attorneys, landlords, repair and cleaning services.
- [ ] **Take out card and payment-app payments**
  Paid by credit card, PayPal Goods & Services, Stripe or Square? The processor reports those on Form 1099-K, not you.
- [ ] **Check each payee's Form W-9**
  Individuals, sole proprietors and LLCs taxed as partnerships generally get a 1099. Corporations generally don't, except attorneys and medical providers.
- [ ] **Collect missing W-9s now**
  Before January, when people are slow to answer. Use a secure upload, not plain email, since the form has a tax ID.
- [ ] **Total what you paid each payee**
  Flag anyone at $2,000 or more for services, rent or other income; $10 or more in royalties; $600 or more in gross proceeds to an attorney.
- [ ] **Check names and tax IDs match**
  A mismatch can bring IRS notices and backup withholding.
- [ ] **Choose how you'll file**
  The IRS IRIS portal or a provider such as QuickBooks. E-filing is required if you file 10 or more information returns in total.
- [ ] **Send 1099-NECs by Feb 1, 2027**
  To each payee and to the IRS. There is no automatic extension.
- [ ] **Send 1099-MISCs on time**
  Payee copies by Feb 1, 2027 (Feb. 16, 2027 for box 8 or 10); IRS by Mar 1 on paper or Mar 31, 2027 electronically.
- [ ] **Check your state**
  Some states, including New Jersey, need their own copy or annual reconciliation.
- [ ] **Withheld tax because there was no tax ID?**
  Then you file the 1099 whatever the amount.

Payee by payee: the Do I need to send a 1099? checker answers it in four questions, and the W-9 request email templates are ready to copy.

Sources: IRS Instructions for Forms 1099-MISC and 1099-NEC; IRS IR-2025-107 (Form 1099-K); IRS Backup withholding; About Form W-9. Checked October 20, 2026.

A 10-step *monthly close*

Clean monthly books are what make tax season short. Pick the same day each month, for example the 10th, and work down the list.

01 **Download every statement**
Each bank, credit card, loan and payment app (PayPal, Stripe, Square, Venmo business) for the month.

02 **Categorize every transaction**
Nothing left in "uncategorized" or "ask my accountant". Split mixed charges.

03 **Reconcile each account**
Your books should match each statement's ending balance to the cent. Investigate any difference now, not in March.

04 **Match receipts**
Attach or file receipts and note the business purpose for meals, travel and anything unusual.

05 **Separate personal from business**
Record owner draws and contributions; move personal charges out of business expenses.

06 **Review who owes you**
Follow up on invoices more than 30 days old.

07 **Review what you owe**
Schedule bills; check nothing was paid twice.

08 **Record the non-obvious**
Payroll, loan payments split into principal and interest, processor fees netted from deposits.

09 **Read your P&L and balance sheet**
Compare with last month and last year. Ask why anything moved a lot.

10 **Set aside tax**
Move your estimate share to a separate tax savings account and note the next due date (page 3).

At year-end, add: count inventory, list equipment bought during the year with dates and costs, total your mileage log, and confirm every contractor's W-9 (page 5).

Behind already? Catch up oldest month first and reconcile as you go. If it's more than a few months, a one-time cleanup is usually faster: mfa-advisory.com/bookkeeping-cleanup.

LLC vs S corp: *when it's worth a look*

An S corporation is a tax election, not a different kind of company. An LLC can keep its default tax treatment or elect S corp status on Form 2553.

DEFAULT LLC (SOLE OWNER)

Profit goes on Schedule C. All of it is subject to self-employment tax of 15.3% on 92.35% of net profit (the Social Security part up to $184,500 for 2026), plus income tax.

LLC TAXED AS AN S CORP

You pay yourself a **reasonable salary** through payroll, and Social Security and Medicare apply to that salary. The rest of the profit passes to you on a K-1 without self-employment tax. You file Form 1120-S by March 15, 2027.

An illustration, not a recommendation

	DEFAULT LLC	S CORP ELECTION
Net profit before owner pay	$100,000	$100,000
Owner salary through payroll	None	$60,000
Self-employment or payroll tax	$14,130 (SE tax)	$9,180 (employee + employer shares)
Difference before added costs	**about $4,950 a year**, before payroll service fees, the 1120-S return, state taxes and fees, and income tax effects	

WORTH A LOOK WHEN

- [ ] Profit is steady and well above a reasonable salary for your role
- [ ] You're ready to run payroll every month, on time
- [ ] Your books are clean and business money has its own account
- [ ] You expect the business to keep earning at this level

PROBABLY NOT YET WHEN

- [ ] Profit is small, uneven or still unknown
- [ ] You'd pay yourself an unrealistically low salary to make it work
- [ ] Payroll filings and a separate return feel like a burden
- [ ] You live or work in a state where the election adds tax or fees

Timing: to be taxed as an S corp for all of 2027, a calendar-year business generally files Form 2553 by March 15, 2027. New Jersey and New York have their own S corp rules, so check both before electing. Try the S corp vs LLC savings estimator with your numbers.

Sources: IRS Self-Employment Tax page; SSA contribution and benefit base; IRS Instructions for Form 2553 and Form 1120-S; IRS Publication 509 (draft for 2027). Illustration uses 2026 rates. Checked October 20, 2026.

When you'd rather *hand it off*

This kit covers the basics. If your situation has more moving parts, or you'd simply rather not do it yourself, this is what we do every day.

Business tax returns

QUOTED UP FRONT

Schedule C, Form 1065 and Form 1120-S, plus quarterly estimates and year-end planning. Federal, New Jersey and New York.

Monthly bookkeeping

FROM $199 A MONTH

One bank account, one card and up to 100 transactions a month, reconciled and closed every month. Bigger books quoted up front.

LLC formation

FROM $150 PLUS THE STATE FEE

State filing, EIN and operating agreement, in any state. Tax registration and bookkeeping setup come in the larger packages.

Book a 30-minute consultation

On Google Meet. Bring your questions and, if you like, a recent statement or last year's return. You'll leave knowing what to fix first.

MFA-ADVISORY.COM/BOOK

WHO YOU'LL TALK TO

Zain Merchant, founder of Merchant Financial Advisory, with about seven years in accounting and audit.

CPA candidate · ACCA · Big Four (ex-PwC) · PTIN/EFIN tax preparer

mfa-advisory.com/book · info@mfa-advisory.com · (347) 205-4468 · Princeton, NJ, serving New Jersey, New York and clients nationwide

SOURCES FOR THIS KIT

- IRS Form 1040-ES (2026)
- IRS Publication 509, draft for 2027
- IRS Self-employment tax
- IRS Instructions for Forms 1099-MISC and 1099-NEC
- IRS Form 1099-K threshold FAQs
- IRS Standard mileage rates
- IRS Publication 587, Business use of your home
- IRS Publication 463, Travel, gift and car expenses
- IRS Publication 946, Depreciation
- IRS Publication 560, Retirement plans
- SSA Contribution and benefit base
- NJ-1040-ES instructions
- NY IT-2105 instructions

This kit is general information for the 2026 tax year, not tax, legal or accounting advice, and it doesn't create a client relationship. Figures were checked against the sources above as of October 20, 2026; tax rules change and depend on your facts. Merchant Financial Advisory LLC does not provide legal advice and is not affiliated with the IRS. © 2026 Merchant Financial Advisory LLC.